

Monday, August 19, 2024

REPRESENTATIVES AT GENERAL MEETINGS

RECIPIENTS OF naamsa MEDIA RELEASES

**RE: QUARTERLY REVIEW OF BUSINESS CONDITIONS: NEW MOTOR VEHICLE
MANUFACTURING INDUSTRY / AUTOMOTIVE SECTOR: 2ND QUARTER 2024**

Ladies and Gentlemen,

Attached is a copy of **naamsa**'s quarterly review of business conditions for the South African motor vehicle manufacturing industry, during the second quarter of 2024, as submitted to the Director-General, Department of Trade, Industry and Competition [**the dtic**].

Industry vehicle sales, export, and import statistics for 2015 through 2023, together with current projections for 2024 and 2025, are reflected on the attachment to the submission.

KEY FEATURES: SECOND QUARTER 2024

- Second quarter 2024 aggregate industry employment as at 30th June 2024 totalled 33,237 reflecting a decline of 137 jobs compared to the 33,374 industry head count as at the end of March 2024;
- Aggregate new vehicle sales during the second quarter 2024 recorded a decline of 9,6% compared to the corresponding quarter 2023 and a decline of 12,1% compared to the first quarter 2024;
- New energy vehicle [NEV] sales by 18 industry brands increased by 169,8% from 1,528 units in the second quarter 2023 to 4,122 units in the second quarter 2024;
- Average industry capacity utilisation levels during the second quarter 2024 continued to reflect the impact of supply chain disruptions caused by the ongoing port congestion and delays while a constraint domestic new vehicle market along with lower vehicle export volumes impacted differently on the different OEMs' vehicle production volumes;
- Aggregate capital expenditure by the major light vehicle manufacturers in 2023 amounted to R5,2 billion, linked to new generation model investments;

- South Africa's global vehicle production market share increased from 0,65% in 2022 to 0,67% in 2023, but its global vehicle production ranking remained at 22nd;
- Second quarter 2024 domestic vehicle production reflected a decrease of 15,5% compared to the corresponding quarter 2023;
- Vehicle exports decreased by 14,4% from in the second quarter 2024 compared to the corresponding quarter 2023 mainly due to a significant decline in exports to the EU as the Eurozone GDP grew by only 0,3% during the second quarter 2024 with Germany's GDP contracting by 0,1%; and
- The **naamsa** CEOs Confidence Index, as an in-house leading business confidence indicator of current and future developments in the domestic automotive industry, reflects the sentiment expressed by the **naamsa** CEOs for the second quarter 2024 compared to the second quarter 2023 as well as automotive business conditions and the country's economy in general for the next 6 months.

Monday, August 19, 2024

Mme Malebo MABITJE-THOMPSON

Acting Director-General

Department of Trade, Industry and Competition

Private Bag X84

PRETORIA

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**RE: QUARTERLY REVIEW OF BUSINESS CONDITIONS: NEW MOTOR VEHICLE
MANUFACTURING INDUSTRY / AUTOMOTIVE SECTOR: 2ND QUARTER 2024**

Dear Mme MABITJE-THOMPSON,

naamsa would like to submit the following report on business conditions in the South African new motor vehicle manufacturing industry and the automotive sector during the second quarter of 2024.

1. EMPLOYMENT LEVELS AND TRENDS

The number of persons employed by the South African new vehicle manufacturing industry - comprising the major new vehicle manufacturers and specialist commercial vehicle and bus manufacturers - during the second quarter of 2024 may be set out as follows:

PERIOD	INDUSTRY TOTAL
Last pay week April 2024	32,965
Last pay week May 2024	33,067
Last pay week June 2024	33,237

Industry employment levels and trends reflect employees on the payroll of vehicle manufacturers. Aggregate industry employment as at 30th June 2024 totalled 33,237 reflecting a decline of 137 jobs compared to the 33,374 industry head count as at the end of March 2024.

The average monthly vehicle manufacturing industry employment number for 2023 was 33,509 compared to the 33,321 in 2022. Employment in the vehicle manufacturing industry is generally linked to production and the increase in employment in 2023 was in line with the steady recovery in vehicle production to pre-pandemic levels as well as supported by the launch of new generation models by some OEMs for the period under review.

An addition to the quarterly review of business conditions is employment levels on the payroll of the independent vehicle importers, at their head offices and dedicated dealerships.

PERIOD	TOTAL
End of quarter 1, 2022	7,635
End of quarter 2, 2022	7,680
End of quarter 3, 2022	7,711
End of quarter 4, 2022	7,610
End of quarter 1, 2023	7,402
End of quarter 2, 2023	7,541
End of quarter 3, 2023	7,503
End of quarter 4, 2023	7,517
End of quarter 1, 2024	7,485
End of quarter 2, 2024	7,517

Aggregate independent vehicle importers employment as at 30th June 2024 totalled a head count of 7,517 reflecting an increase of 32 jobs, compared to the head count of 7,485 as at the end of March 2024.

An addition to the quarterly review of business conditions is capital expenditure on an annual basis by the independent vehicle importers, at their head offices and dedicated dealerships.

PERIOD	TOTAL
2019	R62.6 mil
2020	R53.3 mil
2021	R32.5 mil
2022	R54.3 mil
2023	R43.3 mil

The employment and capital expenditure data collection serve as important reference points, mainly to discern trends in the independent vehicle importers' landscape.

2. NUMBER OF SHIFTS

In line with the steady recovery in vehicle production to pre-pandemic levels, various vehicle manufacturers have returned to operations on a three-shift basis as well as multi-shifts in selected areas such as machining, press shops, paint shop operations and body shops. During the quarter, two vehicle manufacturers operated on a three-shift basis, two vehicle manufacturers operated on a combined single, double and three-shift basis, one manufacturer operated on a combined single- and double-shift basis, and two manufacturers on a single-shift basis.

3. AVAILABILITY AND PRICE TRENDS OF COMPONENTS AND RAW MATERIALS

3.1. Imported components and raw materials

The availability and price trends of imported components were still affected by the ongoing port congestion and consequent delays of offloading vessels of up to 30 days, negatively affecting supply chains during the quarter. Ocean freight rates have been on the rise as global demand for vessels continue to exceed supply. The Rand exchange rate appreciated against major currencies versus the previous quarter while global steel prices decreased during the quarter. Prices of imported components and raw materials remained subject to exchange rate movements and the global price index.

Local components and raw materials

Port congestion and delays resulting in delays of up to 30 days in the offloading of vessels continued during the quarter, disrupting supply chains. Electricity tariff increases affecting domestic supplier competitiveness as well as double-digit long steel product increases were reported during the quarter. Raw material pricing trends remain a function of exchange rate movements and the global price index.

4. UTILISATION OF PRODUCTION CAPACITY: 2020 - 2024 Q2

Average motor vehicle manufacturing industry capacity utilisation levels, by sector and for the years/quarters indicated, may be illustrated as follows:

	Year 2020	Year 2021	Year 2022	Year 2023	Q1 2024	Q2 2024	Q2 2024 Range [High] [Low]	
Cars	69.9%	73.5%	75.5%	92.8%	93.4%	89.0%	100%	57.0%
Light Commercial	59.8%	58.3%	65.2%	77.9%	71.3%	72.8%	100%	33.3%
Medium Commercial	37.4%	47.0%	69.1%	58.5%	60.5%	31.8%	81.0%	6.0%
Heavy Commercial	50.0%	63.6%	83.8%	79.6%	81.7%	78.6%	100%	47.0%

Average industry capacity utilisation levels during the second quarter 2024 continued to reflect the impact of supply chain disruptions caused by the ongoing port congestion and delays while a constraint domestic new vehicle market along with lower vehicle export volumes impacted differently on the different OEMs' vehicle production volumes.

5. VEHICLE MANUFACTURING INDUSTRY CAPITAL EXPENDITURE: 2017 - 2023

naamsa reports the industry's aggregate capital expenditure on an annual basis. The aggregated data is based on capital expenditure details supplied by the major vehicle manufacturers. Details of actual industry capex for 2017 through 2023, in Rand millions, are as follows:

CAPITAL EXPENDITURE	2017	2018	2019	2020	2021	2022	2023
Product/Local/Content/ Export Investment/ Production Facilities	7,144.6	5,779.5	6,705.8	7,296.2	4,910.8	6,443.9	4,393.3
Land and Buildings	301.4	1,202.4	234.5	1,558.1	3,641.4	203.8	215.3
Support Infrastructure [I.T., R&D, Technical, etc.]	724.6	265.0	334.0	377.4	248.5	464.6	561.6
TOTAL	8,170.6	7,246.9	7,274.3	9,231.7	8,800.7	7,112.3	5,170.2

Capital expenditure amounted to R5,2 billion in 2023 [excluding Mercedes-Benz SA]. The continued high levels in capital expenditure over recent years are due to investment projects by manufacturers in terms of the Automotive Production Development Programme [APDP] and APDP2, which are normally spread over multiple years and linked to new generation model investment cycles as well as higher levels of production for export markets.

6. TRANSFORMATION | MAKE AUTOS ATTRACTIVE - GALVANISING BROADER SOCIETY TO UNDERSTAND THE AUTOMOTIVE INDUSTRY

The South African automotive industry is at a crossroads, facing a myriad of challenges and opportunities as global dynamics shift and the domestic market evolves. The "Make Autos Attractive" Programme is a strategic initiative aimed at galvanising broader society to support and engage with the automotive sector. This section explores the critical need for such a programme, highlighting its role in not only ensuring the sector's sustainability but also in positioning it as a cornerstone of the national economy.

The Role of the Auto Masterclass Series

Central to the "Make Autos Attractive" Programme is the Auto Masterclass series, an exclusive online platform dedicated to the legendary Brand Pretorius. These Masterclasses are more than just educational sessions; they are designed to shape the future trajectory of the South African automotive sector by attracting and nurturing the next generation of industry leaders. The automotive sector, despite its significant contribution to the economy, has often been overshadowed by other career paths in the eyes of young professionals. The Auto Masterclass series aims to change this perception by exposing graduates and new entrants to the dynamic opportunities within the industry. Through these sessions, participants will gain invaluable insights into the trends, challenges, and innovations that are shaping the future of the automotive sector.

Masterclass Sessions: A Deep Dive into the Industry's Future

The Masterclass series is strategically structured to cover critical topics that are essential for understanding and thriving in the automotive industry.

1. **Navigating Global Macroeconomic Developments and Supply Chain Disruptions:** This session delved into the global economic shifts and supply chain disruptions that have significantly impacted the SA automotive sector. Participants will learn how to navigate these challenges, turning potential setbacks into opportunities for growth and innovation.
2. **Global Ties: The Interconnected Dynamics of the South African Automotive Industry and Global Developments:** The South African automotive industry does not operate in isolation. This session explored the global interconnections that influence the sector, from international trade agreements to the integration of global supply chains. Understanding these dynamics is crucial for positioning the industry on the global stage.
3. **Supporting Supplier Development in the South African Automotive Sector:** Supplier development is a key focus area for ensuring the sustainability and competitiveness of the automotive sector. This session discussed strategies for supporting local suppliers, enhancing their capabilities, and integrating them into the global supply chain.
4. **The Future of Automobile Manufacturing:** As technology continues to evolve, so does the future of automobile manufacturing. This session offered insights into the trends and innovations that are shaping the future of manufacturing, from automation and digitalisation to the rise of electric vehicles and sustainable production practices.

Galvanising Society: The Path Forward

The "Make Autos Attractive" Programme, with the Auto Masterclass at its core, is more than just a series of educational events, it is a call to action. By equipping graduates and new entrants with the knowledge, skills, and connections needed to succeed in the automotive industry, this initiative is positioning the sector as a "first choice" career path.

The impact, however, goes beyond just the participants. By raising awareness and showcasing the vibrancy and potential of the automotive sector, the programme aims to galvanise broader society - encouraging consumers, stakeholders, and policymakers to actively support and engage with the industry.

The South African automotive industry is not just a vital part of the economy, it is a symbol of innovation, resilience, and progress. Through initiatives like the "Make Autos Attractive" Programme, we can ensure that it continues to thrive, driving economic growth and creating opportunities for future generations.

7. BUSINESS CONDITIONS, PERFORMANCE INDICATORS AND COMMENT

Business Conditions: Second Quarter: 2024

2024 Second quarter aggregate industry new passenger car sales at 76,939 units recorded a decline of 4,718 units, or a fall of 5,8% compared to the 81,657 new passenger cars sold during the corresponding quarter of 2023. Aggregate industry commercial vehicle sales during the second quarter of 2024, at 38,016 units, recorded a decline of 7,530 units, or a loss of 16,5% compared to the 45,546 units sold during the second quarter of 2023.

Industry domestic sales growth: Direction and extent of change [previous and corresponding quarter's percentage changes are reflected in brackets]				
	Qtr. ended 30 June 2024 compared with <u>previous Qtr.</u> ended 31 March 2024		Qtr. ended 30 June 2024 compared with <u>corresponding</u> Qtr. ended 30 June 2023	
Passenger Cars	-9.2%	[-2.2%]	-5.8%	[-8.1%]
Light Commercial vehicles	-21.2%	[+9.2%]	-18.2%	[-1.0%]
Medium Commercial vehicles	-11.6%	[-14.9%]	-12.5%	[-8.6%]
Heavy Commercial vehicles	-3.8%	[-5.4%]	-7.8%	[+1.6%]
Extra Heavy Commercials	+9.1%	[-15.1%]	-9.5%	[+5.1%]
Buses	+73.5%	[-34.3%]	+44.0%	[+26.9%]

Aggregate new vehicle sales during the second quarter 2024 recorded a decline of 9,6% compared to the corresponding quarter 2023 and a decline of 12,1% compared to the first quarter 2024. The declining trend in the new vehicle market, commencing in August 2023, continued into the first half of 2024, signalling a constrained new vehicle market accompanied by an affordability crisis. Weaker new vehicle sales during the first quarter 2024 were aligned with an economy that contracted by 0,1% while sales deteriorated further during the second quarter 2024 as national election jitters also impacted market sentiment. The performance of the new vehicle market during the first half of the year was in line with industry's expectations of a year of two halves, consisting of a taxing first half but improved prospects for the second half of the year once the interest cutting cycle commences.

During the second quarter 2024, new energy vehicle [NEV] sales by 18 industry brands increased by 169,8% from 1,528 units in the second quarter 2023 to 4,122 units in the second quarter 2024, following an 88,2% increase during the first quarter 2024 compared to the first quarter 2023. Following a significant year-on-year increase of 421,7% from 896 units in 2021 to 4,694 units in 2022, comprising 0,88% of total new vehicle sales, NEV sales increased by another 65,8% to 7,783 units in 2023. NEV sales breached the 1% mark for the first time in 2023, comprising 1,45% of the total new vehicle market compared to 0,88% of total new vehicle sales in 2022.

The following table reveals the diversity of drivetrain sales in the South African NEV landscape from 2019 through to 2023 Q4.

	Year 2019	Year 2020	Year 2021	Year 2022	Year 2023	Q2:2023	Q2:2024
Plug-in hybrid	72	77	51	122	336	91	160
Traditional hybrid	181	155	627	4,070	6,518	1,167	3,543
Electric	154	92	218	502	929	270	419
Total NEVs	407	324	896	4,694	7,783	1,528	4,122

The dtic's Electric Vehicle White Paper, unveiled in December 2023, outlines a comprehensive electric vehicle roadmap for South Africa and the structure of a suite of policy interventions tailored to the automotive industry. The primary goal of the White Paper is to set a course to transition the automotive industry from primarily producing Internal Combustion Engine [ICE] vehicles to a dual platform that includes electric vehicles [EVs] in the production and consumption mix, alongside ICE vehicles in South Africa by 2035. This step not only supports the country's efforts to combat climate change but also aligns the domestic automotive industry with the changing demand in export markets, along with positioning South Africa as a key player in the global shift towards sustainable transportation.

The introduction of an investment allowance for new EV investments, as announced in the February 2024 Budget Review, set to commence in March 2026, to claim 150% of qualifying investment spending in the first year, is a crucial step in attracting investments, fostering innovation, and enhancing the growth of the sector within South Africa. An electric vehicle stimulation policy is something the sector has been working towards for some time. As South Africa's most successful non-commodity manufacturing industry, it is critical to the domestic economy that the automotive industry achieves its potential through 2035.

South African Automotive Industry's Performance in a Global Context: 2018 - 2023 production data. Global vehicle production increased by 10,3% to reach 93,5 million vehicles in 2023, up from the 84,8 million units produced in 2022, exceeding the pre-pandemic level of 91,9 million vehicles in 2019 after three years. Global new vehicle sales increased by 11,9% and totalled 92,7 million units in 2023, up from 82,9 million units sold in 2022, supported by another sharp year-on-year rise in EV sales of 35% in 2023.

The following table reflects SA's share of global vehicle production for 2018 to 2023 [in millions].

	2018	2019	2020	2021	2022	2023	% change 2023 / 2022
Global Production	96.87	92.18	77.71	80.21	84.83	93.55	+10.3%
South Africa Production	0.61	0.63	0.45	0.50	0.56	0.63	+13.9%
SA Share of Global Production	0.64%	0.69%	0.58%	0.62%	0.65%	0.67%	+3.1%

South African vehicle production increased by 13,9%, from 555,885 units in 2022 to a record 633,332 units in 2023, exceeding the global year-on-year increase in global vehicle production of 10,3% in 2023. The country's global vehicle production market share thus increased from 0,65% in 2022 to 0,67% in 2023, but its global vehicle production ranking remained at 22nd. In terms of global LCV production, South Africa was ranked 15th with a market share of 1,2%. South Africa remained the dominant market on the African continent and accounted for 54,1% of total African vehicle production and 50,7% of Africa's new vehicle sales.

Second quarter 2024 domestic vehicle production reflected a decrease of 15,5% compared to the corresponding quarter 2023. Despite a quarter of no loadshedding, nearly all segments reflected double-digit production decreases, with the exception of the low-volume bus segment, linked to a constraint domestic new vehicle market along with lower vehicle exports.

The following table reflects South Africa's domestic vehicle production for 2019 to 2024 Q1.

	2019	2020	2021	2022	2023	2023 Q2	2024 Q2	% change Q2:2024/ Q2:2023
Passenger Cars	348,665	237,214	239,267	309,423	336,980	76,575	67,357	-12,0%
LCVs	254,417	185,691	232,166	215,472	262,646	59,590	47,095	-21,0%
MCVs	8,803	6,874	7,643	8,478	8,361	1,869	1,643	-12,1%
HCVs	5,220	4,208	5,151	6,269	5,721	1,393	1,267	-9,0%
XHCVs	13,817	11,484	14,175	15,498	18,841	4,928	4,435	-10,0%
Buses	999	745	685	745	783	191	274	+43,5%
	631,921	446,216	449,087	555,885	633,332	144,546	122,071	-15,5%

South Africa had a vehicle parc [number of registered vehicles] of 13,13 million at the end of 2024, of which 7,79 million, or 59,3%, comprised passenger cars.

A significant 66,5% of domestic light vehicle production was exported in 2023. A record 399, 594 left- and right-hand drive vehicles with a record export value of R203,9 billion were exported to 109 countries around the world in 2023. South Africa's bilateral trade arrangements with major regions and markets such as Europe, the UK, the US and SADC continue to generate significant gains for the domestic automotive industry.

Europe continued to dominate as a region and accounted for a substantial 75,5%, or three out of every four vehicles exported in 2023, with 50,3% of light vehicle production destined for the region. In view of the legislation to ban the sales of new ICE vehicles in the EU and the UK from 2035 onwards, the South African automotive industry is facing a complex challenge of how to reshape and position itself to meet both the demand for ICE vehicles and NEVs, while simultaneously achieving the objectives outlined in the South African Automotive Masterplan [SAAM] 2035.

Industry export performance by major region - 2019 to 2024 Q1

	2019	2020	2021	2022	2023	Q2:2023	Q2:2024	% change Q2:2024/ Q2:2023
Europe	285,599	197,355	229,672	255,709	301,640	65,280	48,995	-24,9%
North America	13,540	9,463	7,981	21,684	20,910	3,741	9,574	+155,9%
Asia	39,879	29,440	24,170	35,154	35,015	8,504	6,751	-20,6%
Africa	23,382	16,987	21,825	22,564	25,380	6,383	5,834	-8,6%
Australasia	17,350	13,698	10,621	12,389	12,483	3,184	3,177	-0,2%
Central America	5,651	3,156	3,045	2,759	2,952	621	695	+11,9%
South America	1,691	1,188	706	1,527	1,214	312	304	-2,6%
Total	387,092	271,287	298,020	351,786	399,594	88,025	75,330	-14,4%

Vehicle exports decreased by 14,4% in the second quarter 2024 compared to the corresponding quarter 2023 mainly due to a significant decline in exports to the EU as the Eurozone GDP grew by only 0,3% during the second quarter 2024 with Germany's GDP contracting by 0,1%. Encouragingly, vehicle exports to the US increased to meet access market demand for similar models manufactured in South Africa, utilising the benefits under AGOA.

8. CONFIDENCE INDEX

The **naamsa** CEOs Confidence Index is an in-house leading business confidence indicator of current and future developments in the domestic automotive industry. The **naamsa** Confidence Index is built to enhance the quarterly reporting with opinions canvassed anonymously from each of the **naamsa** CEOs. The questions focus on views related to automotive business conditions in particular as well as the country's economy in general.

2nd Quarter 2024 vs 2nd Quarter 2023

PERFORMANCE INDICATOR	UP	SAME	DOWN
Domestic new vehicle sales	33%	27%	40%
Vehicle export sales	28%	42%	28%
Vehicle production volumes	36%	50%	14%
Vehicle import volumes	27%	27%	46%
Employment - vehicle manufacturing	13%	67%	20%
Capacity utilisation	20%	53%	27%
Investment expenditure	33%	34%	33%
General new vehicle business conditions	20%	40%	40%

The general sentiment expressed by the **naamsa** CEOs during the second quarter 2024 remains intricately linked to the constraint domestic economic environment. Despite a quarter of no loadshedding and a stronger Rand exchange rate against major currencies, high interest rates, above inflation electricity price increases and an official unemployment rate rising to 33,5% continue to stifle new vehicle sales. New vehicle market results during the quarter were also impacted by the national general elections and delays in announcing the cabinet of the Government of National Unity. Whilst the port delays at the Durban port have progressively eased, the impact to business operations remained substantial. Some CEOs of selected imported brands with affordable models as well as some heavy commercial vehicle OEMs capitalising on the dependency on road transport due to rail inefficiencies again expressed a more positive sentiment during the quarter.

Next 6-months

PERFORMANCE INDICATOR	UP	SAME	DOWN
Domestic new vehicle sales	53%	20%	27%
Vehicle export sales	43%	36%	21%
Vehicle production volumes	23%	54%	23%
Vehicle import volumes	21%	58%	21%
Employment - vehicle manufacturing	14%	65%	21%
Capacity utilisation	21%	57%	29%
Investment expenditure	21%	36%	43%
General new vehicle business conditions	53%	20%	27%

The views of the **naamsa** CEOs generally reflect a cautiously optimistic sentiment in anticipation of improved business conditions during the second half of the year on the back of potentially two interest rate cuts before year-end. However, there is recognition that this would rather stabilise than materially improve the industry's key performance indicators over the next six months. Since the May 29 elections with a new government of National Unity constituted in the interest of all South Africans, sentiment has turned positive. Increased seasonal sales to the rental industry along with an easing of monetary policy in the industry's main export markets also bodes well in contributing to an improved second half of the year performance. However, a concerted effort is required to overturn the downward slope in new vehicle sales and vehicle exports experienced over an extended period.

Brief Comment on business conditions and the medium-term outlook

The downward trend in new vehicle sales that commenced in the third quarter 2023 continued into the first as well as the second quarter 2024. Business conditions remained trying despite a quarter of no loadshedding, which normally impacts on overall costs, productivity and economic growth in the country. Cumulative new vehicle sales for the first half of the year were now tracking 7,5% below the corresponding period 2023. Restrictive monetary policy, stubbornly high inflation and increasing household debt continue to underline the reality that affordability is driving new vehicle sales.

The re-election of President Cyril Ramaphosa has provided some confidence of policy continuity in the newly established 7th Administration which now has a unique opportunity to accelerate implementing structural reforms and turning the economy around. There is now an opportunity to put the economy on an upward trajectory that fosters greater business and investor confidence. A keystone of this is Operation Vulindlela that has already resulted in many gains for the country, including the opening up of the electricity market and building better relations between businesses and government, which would improve investor confidence and the cost and ease of doing business in the country.

The downward momentum in vehicle exports continued during the second quarter 2024 with vehicle exports for the first 6 months of the year now tracking 9,2% below the corresponding period 2023. Adverse weather conditions during the quarter as well as declining exports to Europe, the domestic automotive industry's top export region contributed to the weaker performance. The direction and performance of vehicle exports for the balance of 2024 will remain linked to the central banks' gradual monetary easing in major markets, leading to increased economic activity.



FUEL FOR THOUGHT FLASH

South African automotive trade revenue (exports and imports combined) under the APDP2 amounted to a record R520,5 billion in 2023, comprising 16,7% of South Africa's total trade GDP and reflecting a trade surplus of R21,1 billion. The standard attached schedule reflects updated industry sales, production, export and import numbers. Projections include forecasts for 2024 and 2025.

Kind regards,

Handwritten signature of Mikel M. Mabasa in black ink. The signature is stylized, starting with a large 'M' and ending with a flourish. Below the signature, the date '20240819' is written in green ink.

Mikel M. MABASA
Chief Executive Officer
naamsa | The Automotive Business Council